

Klakki ehf.

Financial Statements

2024

Klakki ehf.
Dalvegi 30
IS-201 Kópavogur
Iceland
ID 610601-2350

Klakki ehf.

Financial Statements

2024

Table of Contents

Endorsement of the Board of Directors	2
Independent Auditors' report	4
Statement of Comprehensive Income	6
Balance sheet	7
Cash flow statement	8
Statement of changes in equity	9
Notes to the Financial Statements	10

Endorsement of the Board of Directors

The Financial Statements are prepared in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union (EU).

According to the Income Statement, comprehensive loss for the year amounted to ISK 52 million compared to ISK 54 million loss for the previous year. According to the Balance Sheet, total assets at year end amounted to ISK 112 million compared to ISK 162 million at year end 2023. Equity at year end was positive and amounted to ISK 108 million compared to ISK 160 million at year end 2023.

At 31 December 2024 there was only one shareholder, BLM fjárfestingar ehf., compared to 131 at the beginning of the year.

The Board of Directors does not propose a payment of dividend to shareholders.

It is the opinion of the Board of Directors that the accounting policies used are appropriate and that these Financial Statements present all the information necessary to give a true and fair view of the Company's assets and liabilities, financial position and operating performance for the year 2024 and describes the assumptions made and the principal risks and uncertainties faced by the Company.

The Board of Directors of Klakki ehf. have today discussed and approved the Financial Statements for the year 2024 with their signature. The Board of Directors recommend that the Financial Statements be approved at the Annual General Meeting of Klakki.

Kópavogur, 28 August 2025

Board of Directors

Gunnar Þór Þórarinsson
Chairman

Lilja Dóra Halldórsdóttir

Joy McAdam

Independent Auditor's Report

To the Board of Directors and shareholders of Klakki ehf.

Opinion

We have audited the financial statements of Klakki ehf. for the year ended December 31, 2024 which comprise, the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of Klakki ehf. as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as adopted by the EU and additional requirements in the Icelandic Financial Statement Act.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of Klakki ehf. in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Iceland and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

The Board of Directors is responsible for the other information. The other information comprises the report of board of directors.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, except the confirmation regarding report of the board of directors as stated below.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

In accordance with Paragraph 2 article 104 of the Icelandic Financial Statement Act no. 3/2006, we confirm to the best of our knowledge that the accompanying report of the board of directors and the CEA includes all information required by the Icelandic Financial Statement Act that is not disclosed elsewhere in the financial statements.

Responsibilities of the Board of Directors for the Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs) as adopted by the EU and additional requirements in the Icelandic Financial Statement Act, and for such internal control as the Board of Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors is responsible for assessing Klakki ehf.'s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Klakki ehf.'s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Board of Directors and the Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Kópavogur, 28 August 2025

Deloitte ehf.

Hilmar A. Alfreðsson
State Authorised Public Accountant

Statement of comprehensive income for the year 2024

	Notes	2024	2023
Net (loss) gain on financial assets	5	-	(62.988)
Interest revenue		5.853.876	6.269.020
Total revenues		5.853.876	6.206.032
Operating expenses	6	(57.767.308)	(60.040.631)
Total expenses		(57.767.308)	(60.040.631)
Operating (loss)		(51.913.432)	(53.834.599)
Financial items		(157.847)	(159.604)
Net foreign exchange gain (loss)		(294.747)	(31.446)
		(452.594)	(191.050)
(Loss) and comprehensive loss for the year		(52.366.026)	(54.025.649)

Balance sheet at 31 December 2024

	Notes	31.12.2024	31.12.2023
Assets			
Cash and equivalents		109.801.641	157.255.116
Financial assets measured at fair value	8	501.000	501.000
Other assets	9	1.473.955	4.199.341
Property and equipment		500.000	500.000
Total assets		112.276.596	162.455.457
Equity			
Share capital	10	28.141.576.103	28.141.576.103
Reserves		(69.497.339.179)	(69.497.339.179)
Equity Instrument	11	185.826.771.622	185.826.771.622
Retained earnings		(144.363.158.617)	(144.310.792.591)
Total equity		107.849.929	160.215.955
Liabilities			
Trade and other payables		4.426.667	2.239.502
Total liabilities		4.426.667	2.239.502
Total equity and liabilities		112.276.596	162.455.457

Cash flow statement for the year 2024

	Notes	2024	2023
Operating activities			
(Loss) for the year		(52.366.026)	(54.025.649)
Fair value, indexation and exchange difference		-	62.988
Working capital (to) operations		(52.366.026)	(53.962.661)
Changes in operating assets and liabilities:			
Receivables, change		2.725.386	10.271.096
Payables, change		2.187.165	(15.489.389)
Net cash (used in) operating activities		(47.453.475)	(59.180.954)
Investing activities			
Financial assets		-	11.937.012
		-	11.937.012
Financing activities			
Distribution to composition instruments holders		-	-
		-	-
Net (decrease) increase in cash and equivalents		(47.453.475)	(47.243.942)
Cash and equivalents at beginning of year		157.255.116	204.499.058
Cash and equivalents at end of year		109.801.641	157.255.116

Statement of changes in Equity for the year 2024

	Share capital	Equity instrument	Reserves	Retained earnings	Total
Equity 1.1.2023	28.141.573.103	185.826.771.622	(69.497.339.179)	(144.256.766.939)	214.238.607
Loss & total comprehensive loss for the year				(54.025.649)	(54.025.649)
Equity 31.12.2023	<u>28.141.573.103</u>	<u>185.826.771.622</u>	<u>(69.497.339.179)</u>	<u>(144.310.792.588)</u>	<u>160.212.958</u>
Equity 1.1.2024	28.141.573.103	185.826.771.622	(69.497.339.179)	(144.310.792.588)	160.212.958
Loss & total comprehensive loss for the year				(52.366.026)	(52.366.026)
Equity 31.12.2024	<u>28.141.573.103</u>	<u>185.826.771.622</u>	<u>(69.497.339.179)</u>	<u>(144.363.158.614)</u>	<u>107.846.933</u>

Notes to the Financial Statements

1. General information

Klakki ehf. is a company incorporated and domiciled in Iceland.

The principal activities of the Company is asset finance. The Company prepares its Financial Statements in ISK, which is the Company's functional currency.

2. Application of new and amended International Financial Reporting Standards (IFRSs)

2.1 Standards issued and effective

In the current year, the Company has applied a number of amendments to IFRSs issued by the International Accounting Standards Board (IASB) that are mandatorily effective for an accounting period that begins on or after 1 January 2024. Their adoption has not had any material impact on the disclosures or on the amounts reported in these Financial Statements.

• IFRS 17 Insurance Contracts	New accounting standard
• IAS 1 Presentation of Financial Statements	Disclosure of accounting policies
• IAS 8 Accounting policies, Changes in Accounting Estimates and Errors	Definition of Accounting Estimates
• IAS 12 Income Tax	Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The adoption of the amendments stated above has not had any material impact on the disclosures or on the amounts reported in these Financial Statements.

2.2 Standards issued but not yet effective

The Company has not early adopted new standards or amendments to IFRSs that have been issued and are permitted for early adoption. The following amendments are effective from 1 January 2025:

• IAS 1 Presentation of Financial Statements	Classification of Liabilities as Current or Non-current
• IAS 1 Presentation of Financial Statements	Non-current Liabilities with Covenants
• IFRS 16 Leases	Definition of Accounting Estimates

The Company does not expect that the adoption of the amended Standards listed above or other issued new standards and amendments scheduled that become effective in subsequent periods will have a material impact on the Financial Statements of the Company in future periods.

3. Significant accounting policies

3.1 Statement of compliance

The Financial Statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union (EU).

3.2 Basis of preparation

The Financial Statements have been prepared on the historical cost basis, except for the financial assets at fair value. Historical cost is generally based on the fair value of the consideration given in exchange for assets. The principal accounting policies are set out below.

Notes to the Financial Statements

3.3 Foreign currencies

Transactions in foreign currencies are recorded at the spot rate of exchange at the transaction date. Monetary assets and liabilities denominated in foreign currencies are re-translated at the spot rate of exchange at the reporting date. The difference between monetary assets and liabilities is recognized in profit or loss in the period to which it relates.

3.4 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

3.4.1 Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the Income Statement because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

3.4.2 Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Financial Statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures, except where the Company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

3.4.3 Current and deferred tax for the period

Current and deferred tax are recognised as an expense or income in profit or loss, except when they relate to items that are recognised outside profit or loss (whether in other comprehensive income or directly in equity), in which case the tax is also recognised outside profit or loss, or where they arise from the initial accounting for a business combination. In the case of a business combination, the tax effect is included in the accounting for the business combination.

Notes to the Financial Statements

3.5 Property and equipment

Property and equipment is stated at cost less accumulated depreciation and any accumulated impairment losses. Depreciation is recognised so as to write off the cost or valuation of assets (other than freehold land and properties under construction) less their residual values over their useful lives, using the straight-line method.

The estimated useful lives, residual values and depreciation method are reviewed at each year end, with the effect of any changes in estimate accounted for on a prospective basis.

Assets held under finance leases are depreciated over their expected useful lives on the same basis as owned assets or, where shorter, the term of the relevant lease.

The gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

3.6 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

3.7 Financial assets

3.7.1 Classification of financial assets

Financial assets are divided into the following categories: financial assets at amortized cost and financial assets at fair value through profit and loss. The classification is determined at recognition and depends on the nature and purpose of the financial asset. All general transactions with financial assets are listed on the trading day. The term general transaction refers to the purchase and sale of financial assets based on a contract or market practice on the delivery or receipt of financial assets within a specified period.

i) Financial assets at amortized cost

A financial asset that is held to maturity and has contractual payments on set dates that consist only of installments of principal and interest, shall be recorded at amortized cost unless the instrument is defined at fair value through profit and loss in accordance with fair value option. Such assets are initially recognized at fair value plus any related transaction costs. After initial recognition, such financial assets are measured at amortized cost based on effective interest, net of impairment. The Company's financial assets that are stated at amortized cost are loans to customers and cash and cash equivalents.

ii) Financial assets at fair value

Financial assets that are not measured at amortized cost or at fair value through other comprehensive income shall be measured at fair value through profit and loss. The Company recognizes no financial assets at fair value through other comprehensive income.

Notes to the Financial Statements

iii) Derecognition of financial assets

The Company derecognises financial assets only when the contractual right to future cash flow of the financial asset is no longer present or when the risk or benefit of the financial asset is transferred to another company.

3.7.2 Impairment

The Company measures expected credit losses for financial assets at amortised cost and cash and cash equivalents. The amounts of financial assets at amortised cost are of immaterial amounts, and cash and cash equivalents consist of bank balances that have immaterial credit risk. The effects of recognising any impairment are determining immaterial.

Final write-off of financial assets

Loans and lease receivables are recognized as being permanently lost, in whole or in part, when there is no real probability of recovery of the amounts being written off.

3.8 Financial liabilities and equity instruments issued by the Company

3.8.1 Classification as debt or equity

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangement.

3.8.2 Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

3.8.3 Other financial liabilities

Other financial liabilities are initially measured at fair value, net of transaction costs.

Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

3.8.4 Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or they expire.

3.9 Cash and cash equivalents

Cash and cash equivalents include cash on hand and in banks and investments in money market instruments, net of outstanding bank overdrafts.

Notes to the Financial Statements

4. Critical accounting judgements and key sources of estimation uncertainty

In the application of the Company's accounting policies, which are described in note 3, the directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

5. Net (loss) gain on financial assets

	2024	2023
Fair value changes of unlisted shares	-	(62.988)
	-	(62.988)

6. Operating expenses

	2024	2023
Board of Directors	9.948.000	13.186.000
Administrative expenses	19.895.821	19.577.174
Fees for audit, review and other services.....	3.314.954	4.303.608
Advisory, legal and Composition cost.....	24.063.800	10.004.175
Facilities and depreciation	487.656	457.775
D&O liability and other insurance.....	-	12.395.279
Other operating expenses	57.077	116.620
	57.767.308	60.040.631

7. Dividend

On 29 August 2024 the Klakki ehf. Board of Directors proposed at the Annual General Meeting that no dividend would be paid in respect of results for the year 2023, the proposal was approved. On 4 July 2023 the Klakki ehf. Board of Directors proposed at the Annual General Meeting that no dividend would be paid in respect of results for the year 2022, the proposal was approved.

Notes to the Financial Statements

8. Financial assets measured at fair value

	31.12.2024	31.12.2023
Unlisted shares	1.000	1.000
Other financial assets	500.000	500.000
	<u>501.000</u>	<u>501.000</u>

9. Other assets

	31.12.2024	31.12.2023
Finance withholding tax	1.287.853	1.379.180
Other receivables and prepayments	186.102	2.820.161
	<u>1.473.955</u>	<u>4.199.341</u>

10. Share capital

Share capital at 31 December 2024 consisted of 28.141.576.103 (2023: ISK 28.141.576.103) shares of ISK 1 each. All Klakki shares carry one vote on shareholders meetings.

Own shares at 31 December 2024 amounted to zero (2023: zero). All shares are fully paid for.

11. Equity Instrument

By a ruling made by the District Court of Reykjavík on 7 July 2010, Klakki was granted permission to seek Composition with its creditors. The Composition Agreement was confirmed on 17 October 2010. According to the Composition Agreement the Company's creditors converted 10% of their claims into shares in the Company and 90% to a debt convertible into shares in the Company with the following terms and conditions. Repayments shall be subject to funds available to be disbursed by the Company and will not bear any interest. On 31 December 2025 or such later date as determined pursuant to the Composition Agreement, but no later than 31 December 2030, any amounts then outstanding shall be converted into shares in the Company at conversion price equal to ISK 1 per share. The composition proposal effectively passed control and all economic value to the creditors. At year end 2024 Klakki's distributions relating to the Composition Agreement amounted to 67,8 billion.

Notes to the Financial Statements

12. Financial instruments

12.1 Categories of financial instruments

The categories of financial assets and financial liabilities are as following:

2024	Financial assets at amortiz. cost	Liabilities at amortized cost	Financial assets at FVTPL	Total
Cash and cash equivalent.....	109.801.641	-	-	109.801.641
Financial assets measured at fair value.....	-	-	501.000	501.000
	109.801.641	-	501.000	110.302.641
Other liabilities.....	-	4.426.667	-	4.426.667
	109.801.641	4.426.667	501.000	114.729.308
2023	Financial assets at amortiz. cost	Liabilities at amortized cost	Financial assets at FVTPL	Total
Cash and cash equivalent.....	157.255.116	-	-	157.255.116
Financial assets measured at fair value.....	-	-	501.000	501.000
	157.255.116	-	501.000	157.756.116
Other liabilities.....	-	2.239.502	-	2.239.502
	157.255.116	2.239.502	501.000	159.995.618

12.2 Fair value measurements

The fair value of a financial instrument is the transaction value between unrelated parties who are informed and willing to trade, on commercial terms on the value date. If market price is not available the Company uses valuation methods based on assumptions and criteria that are compatible with those that market participants would assume in pricing of financial instruments. The Company's assets and liabilities carried at amortized cost is the same as its fair value.

Classification of levels:

Level 1: Trading price, listed on an active market, for similar assets and liabilities that are available on the valuation date.

Level 2: Value based on analysed prices other than those specified on level 1, either directly (e.g. price) or indirectly (e.g., derived from the price).

Level 3: The valuation of assets and liabilities, which is not based on analytical market information, but rather for example on internal assessment.

Financial Statement

31 December 2024	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value	-	-	501.000	501.000

Financial Statement

31 December 2023	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value	-	-	501.000	501.000

Notes to the Financial Statements

The fair value measurements of financial assets classified as level 3 are determined by the following methods:

Net asset valuation (NAV) from fund managers - In the case of security investment funds and professional investors' funds, the valuation given by the managers of the funds should be used. The requirement is that those calculations are made according to accepted standards for valuating such assets. It is permitted to deviate from the valuation of the fund manager, but only to decrease the value of the asset. This is only used if there is evidence that the published price is not up to par with requirements or events have occurred since the last valuation, which indicate that the asset has declined in value.

Put options or shareholders agreement - When a put option is available for the securities or shareholders agreement is in place for the price, those prices can be used.

Prices based on the other similar securities - In cases where similar assets are listed on the market it is permitted to use that price as a basis for the security. An example of this is the bond yield, EV/EBITDA and P/E ratio for stocks. When using comparison with other similar assets to determine the price of securities owned by the Company, prudence shall be used in the valuation. In such cases a memorandum shall be prepared in which the new valuation is justified and approved by the investment board.

The purchase price - If none of the above methods are feasible the purchase price is used as the price.

12.2.1 Movements in Level 3 Financial assets measured at fair value

	2024	2023
	Financial assets	Financial assets
Balance at the beginning of the year	501.000	12.501.000
Net fair value changes	-	(62.988)
Disposals and recovery	-	(11.937.012)
	<u>501.000</u>	<u>501.000</u>

12.3 Capital risk management

The Company strives to manage its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

12.4 Significant accounting policies

Details of the significant accounting policies and methods adopted, including the criteria for recognition, the basis of measurement and the basis on which income and expenses are recognised, in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 3 to the Financial Statements.

12.5 Risk management

Management monitors and analyses financial risks in the operations. Methods for financial risk management are reviewed on a regular basis to analyse any changes in the market or the Company's operations.

12.6 Market risk

Market risk consists of currency risk and fair value. The Company's objective is to manage and limit risk within defined limits, as well as to maximise returns.

Notes to the Financial Statements

12.7 Currency risk

The Company undertakes certain transactions denominated in currencies, other than the functional currency, including the CHF, GBP, JPY and EUR. Currency exposure is managed with asset and liability matching. For investments in associates and unlisted assets the functional currencies of the underlying assets are used in the currency balance, for listed equities the currency of the primary listing is used.

The net carrying amounts of the Company's currency denominated monetary assets and monetary liabilities at the reporting date are as follows:

Net position		
	2024	2023
EUR	5.936.918	6.089.256

12.7.1 Currency sensitivity analysis

The following table details the Company's sensitivity to a 10% appreciation in the Krona against the relevant currencies. The sensitivity analysis includes currencies other than the accounting currency ISK and adjusts their translation at the period end. A positive number below indicates an increase in profit and equity where the ISK appreciates 10% against the relevant currency. For a 10% depreciation of the ISK against the relevant currency, there would be an equal and opposite impact on the profit and equity. The sensitivity analysis does not take into account tax effects.

2023	EUR	GBP
Effect on income & equity	(608.926)	-
2024	EUR	GBP
Effect on income & equity	(593.692)	-

13. Related party transactions

Related parties are those that have a significant influence on the Company, directly or indirectly, including owners, large investors, key employees and their families and others who are controlled by or are dependent on the Company, such as affiliates and joint ventures. Transaction with related parties have been carried out on similar basis as transactions with unrelated parties. No material operational transactions occurred between related parties during 2023 and 2024.

14. Other matters

In October 2020 ten years had passed since Klakki's Composition Agreement was confirmed, therefore statute of limitations for composition claims against Klakki have expired.

15. Events after the Balance Sheet date

After year end, the following significant events have occurred:

No events have occurred past the Balance Sheet date that would require disclosure or adjustments to the Financial Statements as of 31 December 2024.

Notes to the Financial Statements

16. Approval of Financial Statements

The Financial Statements were approved by the Board of Directors and authorised for issue on 7 August 2025.